



T.RowePrice



2026 Midyear Market Outlook

Five shifts reshaping markets

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Introduction: When resilience meets reality

The first half of 2026 has been a lesson in resilience—but not stability.

Markets have absorbed a remarkable sequence of shocks: the Iran war, renewed energy security concerns, sticky inflation, volatile policy expectations, and the continued reordering of global supply chains. Yet risk assets have held up better than many feared, supported by strong U.S. growth, strong corporate earnings, and relentless artificial intelligence (AI)-related investment. The risk for investors is mistaking resilience for calm. The market regime is changing.

As our scorecard shows, many of the themes we identified at the start of the year have broadly played out. Fiscal expansion and AI investment have underpinned stronger-than-expected U.S. growth. Equity leadership has begun to broaden beyond mega-cap technology, even as AI remains a dominant force. Government bond yields have stayed under pressure from deficits and issuance, while credit markets have remained robust—but increasingly selective. Other calls are more mixed: The U.S. has outperformed, but eurozone manufacturing weakness has been less pronounced than expected; non-U.S. equities have shown promise, but leadership remains uneven.

As we explain in the pages ahead, we believe the old investment order is giving way to one that is more fragmented, physical, and selective. Geopolitical and economic fault lines are pushing governments and companies to prioritize security over efficiency. A revival in global manufacturing is complicating the inflation fight just as central banks had hoped to ease more decisively. The energy shock has exposed supply chain fragility and accelerated the push for energy security and diversification.

At the same time, AI is moving from the digital economy into the real economy. The opportunity is no longer confined to a narrow group of platform companies; it is spreading into power, infrastructure, cooling, connectivity, construction, and industrial capacity. That shift is helping loosen the grip of benchmark concentration and create a more dispersed opportunity set.

In short, macro is back. This is not simply a more volatile version of the last cycle. It is a different market environment—one in which capital intensity, supply security, policy support, and earnings durability matter more. For investors, the challenge is no longer just identifying growth. It is identifying which companies, sectors, and economies can turn a more demanding world into better returns.

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Scorecard

	Expectation at start of 2026	How we did	On reflection
Global Economy	- Fiscal expansion and AI investment would support U.S. growth - The U.S. would outperform while the eurozone would lag as tariff front-loading weighed on manufacturing	✓ —	- Fiscal expansion and AI-related investment provided a stronger-than-expected underpinning for U.S. growth, supporting the economy - The U.S. has outperformed as expected, supported by resilient AI-related investment and fiscal tailwinds, but anticipated eurozone manufacturing weakness has been less evident
Equities	- Equity market leadership would broaden beyond mega-cap tech - AI would remain a key market driver, with leadership evolving	✓ ✓	- Equity market leadership broadened beyond mega-cap tech, with small-caps and value stocks outperforming year-to-date¹ even as AI-related companies remained important drivers of returns - AI remained a dominant market driver, with leadership beginning to expand toward infrastructure and semiconductor enablers
Fixed Income	- Fiscal expansion would push government bond yields higher - Credit markets would remain resilient, but selectivity would be key	✓ ✓	- Government bond yields faced sustained upward pressure as the energy price shock, fiscal deficits, and increased issuance weighed on markets, reinforcing the influence of policy on interest rates - Credit markets remained broadly resilient, but tight valuations and emerging dispersion reinforced the importance of disciplined credit selection
Asset Allocation	- Equities would be favored over bonds - Non-U.S. equities would offer stronger opportunities	✓ —	- Equities generally outperformed bonds - Non-U.S. equities showed improving fundamentals and periods of outperformance,¹ but questions about the sustainability of those fundamentals have emerged due to headwinds from higher energy costs and less accommodative monetary policy

"Expectations at start of 2026" are from our 2026 Global Market Outlook, issued in November 2025. The Scorecard does not reflect all views and expectations covered in that report. "How we did" reflects what we got right and wrong as of the time of this writing. The orange dash indicates we were partially right. Future outcomes may differ materially, and the information provided is subject to change. **Past performance is not a guarantee or a reliable indicator of future performance.**

¹ Based on index data, as of May 29, 2026.

Geopolitical fragmentation raises the risk premium



Chris Kushlis, CFA
Chief Emerging Market
Macro Strategist

Geopolitical tensions are accelerating fragmentation of the global economy. Governments are prioritizing energy security, domestic industrial capacity, and diversified supply chains over efficiency, raising costs and making markets more sensitive to shocks.

Markets have remained relatively strong so far this year, supported by corporate earnings, AI-driven growth, and limited spillover into global demand. However, repeated shocks could test this resilience if higher energy prices, tighter supply chains, and volatile inflation expectations weigh on financial conditions and risk appetite.

With global supply chain pressures rising again (Figure 1), security means different things across regions. Large economies are seeking more domestic production, while others are building redundancy through diversified suppliers, inventories, and logistics networks. These shifts reduce reliance on the most efficient provider, raising costs and complicating inflation.



Razan Nasser, CFA
Credit Analyst

Fragmentation is likely structurally inflationary as reshoring, tariffs, supply chain duplication, and higher defense spending lift costs globally. This points to a tougher growth/inflation trade-off for central banks, more volatile policy paths, and greater dispersion in currencies and interest rates.

Central banks may face pressure to accommodate higher spending, even at the expense of inflation targets. Defense, technology, and critical infrastructure remain central to this transition. Europe and parts of Asia are exposed to external shocks, reinforcing the need for strategic investment, key commodity reserves, and secure supply networks. Rising tensions are prompting a reassessment of security assumptions, with greater emphasis on cyber capabilities and local defense capacity.

For investors, this points to an environment in which geopolitical risk carries a steeper premium. Regional divergence is likely to widen, with resilient economies and strategically important sectors benefiting from policy support, while globally exposed and trade-sensitive sectors face pressure.

Global supply chain pressures have spiked this year

(Fig. 1) Energy shocks and AI demand are lengthening delivery times



As of April 30, 2026.

Sources: Global Supply Chain Pressure Index (GSCPI), Federal Reserve Bank of New York.

Notes: The GSCPI gauges supply chain conditions. A positive standard deviation indicates likely supply chain pressures. GSCPI readings for the most recent months can be revised as realized data become available, replacing the imputed values generated through principal component analysis. Further, for some series, mainly the Bureau of Labor Statistics airfreight cost indices, each new release comes with revisions to up to 12 months of previous data. Thus, revisions can have an impact up to a year back in time.

Investment implications

- Geopolitical fragmentation may increase inflation volatility, regional divergence, and central bank policy dispersion, creating opportunities in rates and currency markets.
- Economies with deeper domestic markets, secure supply networks, and policy-backed sectors may be better placed to attract capital than those with globally exposed, efficiency-driven business models.

Manufacturing revival complicates inflation fight



Adam Marden
Portfolio Manager,
Fixed Income

Rising inflation worldwide is prompting central banks to abandon the rate-cutting cycle earlier than expected or, in some cases, to resume hiking rates. Fiscal policy is pulling in the other direction as governments use fuel subsidies and other support measures to soften the growth hit from the Iran war. A revival in global manufacturing now looks set to add to these pressures, which would make inflation broader and more durable than markets expect.

Nations such as the UK, New Zealand, and Australia will have to contend with the growth effects of a potential longer-term shortage of refined oil products such as jet fuel and diesel, leaving central banks to grapple with stagflationary outcomes that make their policy decisions much more difficult.

Further complicating this backdrop are clear signs of a sustained pickup in global manufacturing Purchasing Managers' Indexes (PMIs) after a three-year downtrend in the manufacturing cycle (Figure 2). Additionally, last year the

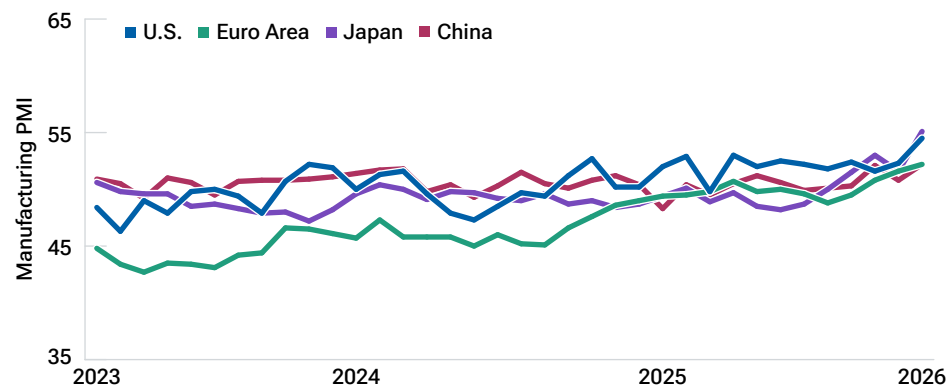
Chinese government announced its "anti-involution" drive to curb overinvestment and support profit margins across various industrial sectors. While the actual impact of this policy is debatable, its effects reached the Chinese economy around the same time that the global manufacturing cycle reached a bottom and started to turn positive.

The year-over-year change in China's producer price index turned positive in March. Conversations with management teams at Chinese industrial companies suggest that nearly all have been raising prices to offset higher raw material costs and to respond to firmer demand.

Markets have priced in the short-term implications of the supply-driven rise in oil prices but not the more persistent inflation tied to the upturn in the global manufacturing cycle and industrial price increases driven by more expensive raw materials. This has created a scenario where markets are trying to look through a short-term inflationary spike on the assumption that the Strait of Hormuz will be opened relatively quickly—but investors may be disappointed by structural inflation that could remain after the immediate energy supply crunch.

Manufacturing PMIs are recovering

(Fig. 2) Orders improve as the destocking cycle fades



As of April 30, 2026.

Sources: S&P Global Business Surveys—Manufacturing PMI (seasonally adjusted index data). PMIs above 50 indicate expansion and below 50 indicate contraction.

Investment implications

- Positioning for U.S. yield curve flattening could benefit from a combination of less disinflation from Chinese imports and an accelerating manufacturing cycle.
- Long inflation breakeven¹ exposures could become hedges to consider for portfolios that have underlying credit exposure.

¹ Long inflation breakeven is a strategy that aims to profit if the spread widens between nominal bond yields and Treasury inflation protected securities (TIPS) yields. Investments that employ this strategy often involve shorting nominal bonds or using derivatives such as inflation swaps.

What happens when supply chains are disrupted?

Potential impacts of the energy shock on inflation, growth, and interest rates

ENERGY SHOCK

Strait of Hormuz blocked,
regional facilities attacked



Natural gas price spikes



Shipping disruptions restrict
supplies of materials from
the Middle East



Oil price spikes

INDUSTRIES UNDER PRESSURE

Key sectors face energy input cost
pressures or direct supply constraints



Fertilizers

Ammonia, nitrogen,
phosphate, and potash



Aluminum



Petrochemicals

Olefins and aromatics



Refined oil products

DOWNSTREAM IMPACTS

Higher input costs flow through to
production of end products

- Crops
- Agricultural feed for livestock
- Other farming outputs

- Vehicles
- Aircraft
- Beverage cans
- Appliances

- Plastics
- Industrial chemicals
- Solvents
- Detergents

- Gasoline
- Jet fuel
- Diesel

MACRO OUTCOMES

Broader economic
consequences



Broad inflation
above target



Higher
interest rates



Pressure on
housing
and budgets



Weaker
economy

As of May 31, 2026. Analysis by T. Rowe Price. For illustrative purposes only.

Supply shock sparks energy security push



Rick de los Reyes

*Head of Commodities and
Sector Portfolio Manager*

The Iran war has exposed how fragile global energy supply chains have become. Even before the conflict, oil markets were tightening as spare capacity narrowed and producer costs increased (Figure 3). The supply shock has sharpened investor focus on energy security—and on the industries positioned to benefit from a world of scarcer supply.

Although the conflict has not altered the industry's structurally lower productivity trajectory, it has intensified the geopolitical risks supporting higher prices. The initial price spike is likely to moderate as shipping traffic resumes, but declining productivity and elevated geopolitical risk are likely to keep oil prices structurally higher than they were before the conflict. Oil refineries have so far proven relatively resistant to war-related damage, so the market for refined petroleum products, such as gasoline, diesel, and jet fuel, should move broadly in line with oil prices.

Liquefied natural gas (LNG) is a different story. A large LNG production facility in

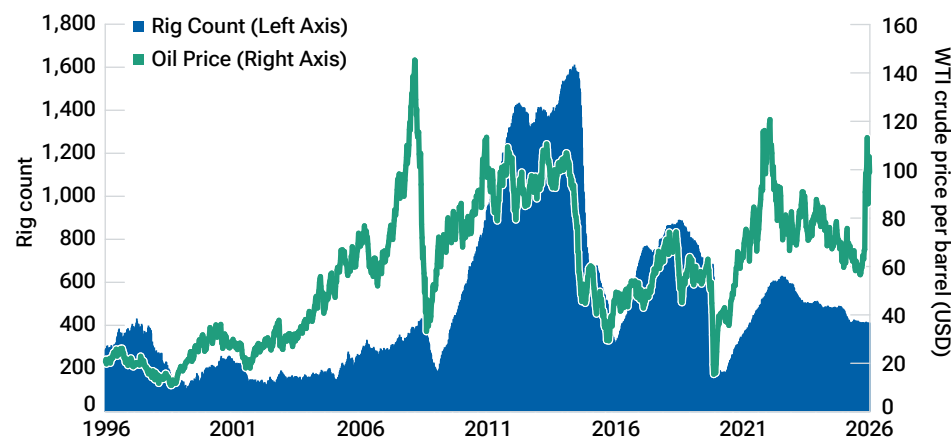
Qatar was heavily damaged, cutting off a major share of LNG supply to Asia, potentially for several years. In the short term, the outage is likely to push LNG prices sharply higher; over time, however, sustained shortages could accelerate a shift back toward coal or forward into renewables in parts of Asia, reducing long-term LNG demand.

LNG is also a key input in the fertilizer manufacturing process, raising fears of food price inflation and even scarcity. Although fertilizer costs are likely to rise, we do not expect a full-scale food crisis. State-backed fertilizer producers would likely continue supplying global markets, and the countries involved in the conflict have strong incentives to prioritize fertilizer shipments through the Strait of Hormuz over other commodities.

Where should investors in commodities-related sectors focus in this environment? We see opportunities in businesses tied to energy scarcity, such as oil field services firms; in energy diversification, including nuclear and renewable power; and in producers of critical minerals such as tungsten and uranium, which are often found in emerging markets.

Oil markets were tightening before the Iran war

(Fig. 3) Rig count was falling despite elevated prices



As of April 30, 2026.

Sources: Baker Hughes, West Texas Intermediate oil price.

Investment implications

- The oil field services, nuclear and renewable energy, and critical materials industries may offer opportunities as investment in energy security and supply diversification accelerates.
- Demand destruction from structurally higher LNG prices could weigh on LNG producers in the long term.

AI moves into the real economy



Jason Adams
Sector Portfolio
Manager, Equity

AI continues to be a powerful driver of market performance, but the opportunity set is changing. While capital expenditure (capex) remains durable and strategically unavoidable, the focus is shifting from the scale of hyperscaler spending to where that spending flows, which companies benefit, and how broadly the earnings impact spreads.

The current phase is defined by the magnitude and urgency of this investment cycle. Hyperscalers have ramped up spending, accelerating AI capabilities and reinforcing demand across the broader ecosystem (Figure 4). This intensity has concentrated investor attention on a narrow group of companies seen as the most direct beneficiaries.

These companies have been high quality and clear beneficiaries, but elevated expectations, broad ownership, and demanding valuations make it increasingly difficult for them to keep driving market leadership at the pace seen earlier in the AI trade. As a result, investor focus is shifting toward parts of the supply chain where

incremental spending can still translate into differentiated earnings upside.

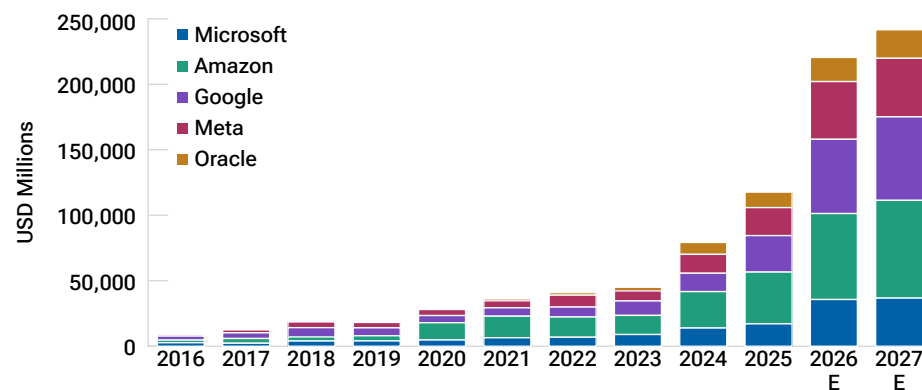
At the same time, the AI capex opportunity set is broadening meaningfully to less obvious beneficiaries. Incremental dollars are increasingly flowing beyond silicon into power, data center infrastructure, electrical equipment, cooling, connectivity, construction, and services, driving activity across the real economy. In that context, AI is no longer just a technology story; it is becoming a broader industrial and infrastructure investment cycle.

This shift is already visible in earnings dynamics. Hyperscalers are recycling operating cash flow back into infrastructure investment, while industrial and hardware technology companies downstream are seeing greater demand, stronger operating leverage, and growing potential for positive earnings surprises.

The implication for positioning is clear: being “long AI” remains compelling, but the next phase of the cycle is likely to reward selectivity over simple participation. The most attractive opportunities increasingly sit with companies that can monetize complexity, power intensity, connectivity, and execution, rather than simply benefiting from backlog growth or AI enthusiasm.

AI capex continues to soar

(Fig. 4) Hyperscaler capex, trailing 4-quarter total



As of May 15, 2026.

E=Estimates.

The specific securities identified and described are for informational purposes only and do not represent recommendations to buy or sell any security. For illustrative purposes only. Estimates are consensus estimates. **Actual outcomes may differ materially from estimates. Estimates are subject to change.** Hyperscalers are cloud-service providers that operate at an extremely large scale. This is a sample of U.S. hyperscalers and is not an all-inclusive list.

Source: T. Rowe Price analysis using data from FactSet Research Systems Inc. All rights reserved.

Investment implications

- AI-related upside is broadening beyond the most obvious beneficiaries to industrial and hardware technology companies enabling the physical infrastructure build-out.
- Power intensity, connectivity, infrastructure complexity, and execution are becoming increasingly important sources of differentiated earnings growth as AI capex expands.

Concentration makes way for dispersion



David Eiswert, CFA
Portfolio Manager,
Global Equity

For much of the past decade, outperforming often meant owning more of the benchmark's largest companies. A small group of mega-cap, asset-light platforms dominated equity returns, making active investors compete against a concentrated index. That dynamic is shifting as AI changes the economics of the market's largest companies and broadens the opportunity set beyond the winners of the last cycle.

The post-global financial crisis era rewarded duration, scale, and asset-light models. Capital flowed to companies capable of delivering durable earnings growth with limited capital intensity. The post-COVID world is different. Higher nominal growth, stickier inflation, higher rates, and the build-out of AI infrastructure are rewarding businesses tied to infrastructure, industry, and capital investment.

The economics of the prior leaders are changing, too. Hyperscalers collectively are being pulled from asset-light compounding into a capital-intensive investment race.

They may have little choice but to spend aggressively to defend their positions, but that spending can pressure free cash flow and alter return profiles.

For investors, the implications are significant. Index exposure remains highly concentrated even as the economics of the largest benchmark constituents become more complex. At the same time, leadership is broadening across sectors and geographies, widening the gap between companies that can turn higher investment into stronger returns on capital and those that cannot. Many beneficiaries of this cycle are also seeing improving relative growth, contributing to shifts in valuations and helping explain the recent underperformance of traditional quality and durable growth.

This creates a more challenging benchmark environment, but also a richer opportunity set for active investors who can distinguish between capex that could enhance returns and spending that dilutes them. It is more than a market rotation—it is a shift from concentration to dispersion. In the next phase, returns are likely to depend less on index exposure and more on identifying where capital intensity is creating better economics—not eroding them.

The great rotation

(Fig. 5) Returns may shift toward infrastructure providers

Hyperscalers collectively will need to capture a larger share of gross domestic product to support rising capex, while returns could increasingly shift toward physical infrastructure providers benefiting from strong underlying demand.



As of May 31, 2026.

Analysis by T. Rowe Price. For illustrative purposes only. Actual outcomes may differ materially.

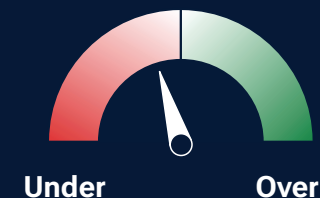
Investment implications

- Market leadership is broadening beyond a narrow group of mega-cap technology companies, creating a more attractive environment for active security selection.
- As AI investment is likely to change corporate return profiles, companies converting capital spending into durable earnings growth may be better positioned than those facing weaker free cash flow.

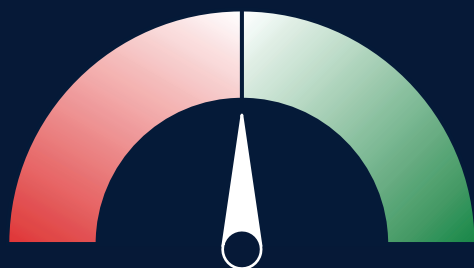
2026 tactical allocation views

As of May 31, 2026

Weighting Guide

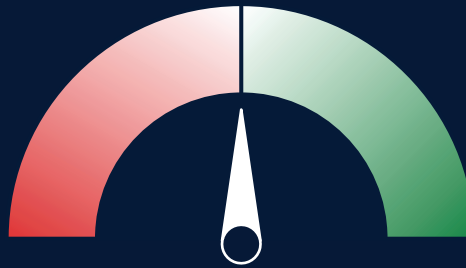


T. Rowe Price multi-asset positioning—asset class



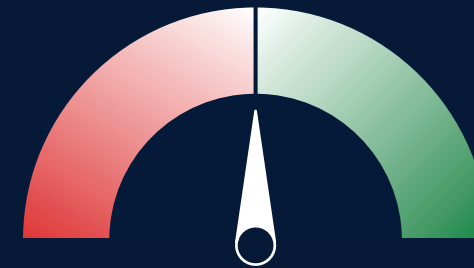
Stocks

- We remain neutral on equities, reflecting a balanced view between decent fundamentals—including a constructive earnings outlook and fiscal stimulus—and elevated valuations and the geopolitical backdrop.
- Within equities, we recently trimmed our global ex-U.S. overweight to neutral, shifted to a modest overweight to growth, and took profits after small-cap outperformance while maintaining an overweight.



Bonds

- We maintain a short duration profile through underweights to long-term U.S. Treasuries and core bonds, along with an overweight to high yield.
- We also maintain a long position in short-term Treasury inflation-protected securities.



Cash

- Though we still find cash/cash equivalent yield levels reasonably attractive, we maintain a neutral position given that cash yields are slightly below short-term bond yields.

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T. Rowe Price multi-asset positioning—stocks



U.S.

Valuations are elevated but supported by exceptionally strong earnings growth. AI infrastructure build-out remains the key driver. Inflation and monetary policy remain sources of risk.



U.S. Growth vs. Value¹

Tailwinds for growth are increasing due to the shift to agentic AI and earnings momentum. Anticipated IPOs and a Russell index rebalance could boost momentum and volatility further.



Global ex-U.S.

Valuations are attractive, and fiscal policies are supportive. However, energy prices and the potential for hawkish monetary policies pose headwinds.



Global ex-U.S. Growth vs. Value¹

Targeted fiscal spending and normalized interest rates are driving earnings growth, particularly in industrials and financials. However, energy costs and the potential for rate hikes will be a headwind to growth.



Europe

Fiscal policy should continue to support economic growth, but elevated energy prices are likely to pose a significant headwind and push short-term rates higher.



U.S. Large- vs. Small-Cap¹

Large-cap fundamentals are strong and accelerating among AI infrastructure beneficiaries. However, small-caps offer more upside potential from low levels as earnings growth broadens.



Japan

Fiscal stimulus and a broadening capex cycle support earnings and investor confidence. However, tighter policy and elevated energy prices could temper momentum.



Global ex-U.S. Large- vs. Small-Cap¹

Fiscal policies could provide tailwinds for small-caps, where valuations are still very attractive. However, restricted energy supply could weigh on business and consumer sentiment.



Emerging Markets (EM)

Global growth and stable currencies support equities, though if energy prices remain elevated, inflation and external pressures could increase.



Real Assets Equities

Real assets mitigate risk from inflation shock pertaining to higher energy prices, and benefit from AI build-out demand. This area could also benefit from a weakening U.S. dollar.

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¹ For pairwise decisions in style and market capitalization, positioning point represents positioning in the first-mentioned asset class relative to the second asset class.

T. Rowe Price multi-asset positioning—bonds



U.S. Investment Grade (IG)

Rising inflation expectations and a Fed on pause are keeping upward pressure on rates. Credit fundamentals are still supportive, with spreads expensive relative to history.



Global High Yield

Tight spreads may limit further potential upside, but high yield is supported by healthy fundamentals, favorable sector exposures, and low default expectations.



Developed ex-U.S. IG (Hedged)

Yields are attractive; however, higher vulnerabilities to energy price shocks are prompting likely hawkish central bank responses.



Floating Rate Loans

Floating rate loans still offer attractive yield levels; however, software sector challenges and tight spreads could limit further upside.



U.S. Treasury Long

Concerns around rising inflation expectations and fiscal deficits could keep upward pressure on long-end yields, with limited recession risk.



Emerging Market Dollar Sovereigns

Attractive yields and fundamentals are supportive, though the geopolitical backdrop could create a bifurcated environment.



Inflation Linked

Inflation expectations remain elevated due to energy price shocks, though they may not be fully reflected in breakevens.



EM Local Currency

Compelling yields, combined with expectations for a weaker U.S. dollar, point to a favorable outlook. However, the war in Iran could weigh on sentiment.

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Appendix

Financial terms: Investors in the U.S. and Canada, for a glossary of financial terms, please go to troweprice.com/glossary.

Investment Risks:

Active investing may have higher costs than passive investing and may underperform the broad market or passive peers with similar objectives. Each person's investing situation and circumstances differ. Investors should take all considerations into account before investing.

International investments can be riskier than U.S. investments due to the adverse effects of currency exchange rates, differences in market structure and liquidity, as well as specific country, regional, and economic developments. The risks of international investing are heightened for investments in emerging market and frontier market countries. **Emerging and frontier market countries** tend to have economic structures that are less diverse and mature, and political systems that are less stable, than those of developed market countries.

Commodities are subject to increased risks, such as higher price volatility and geopolitical and other risks. Commodity prices can be subject to extreme volatility and significant price swings.

Inflation-linked bonds (Treasury inflation protected securities in the U.S.): In periods of no or low inflation, other types of bonds, such as U.S. Treasury bonds, may perform better than Treasury inflation protected securities (TIPS).

Investing in **technology stocks** entails specific risks, including the potential for wide variations in performance and unusually wide price swings, both up and down. Technology companies can be affected by, among other

things, intense competition, government regulation, earnings disappointments, dependency on patent protection, and rapid obsolescence of products and services due to technological innovations or changing consumer preferences.

Because of the cyclical nature of **natural resource companies**, their stock prices and rates of earnings growth may follow an irregular path.

The **value approach** to investing carries the risk that the market will not recognize a security's intrinsic value for a long time or that a stock judged to be undervalued may actually be appropriately priced. **Growth stocks** are subject to the volatility inherent in common stock investing, and their share price may fluctuate more than that of income-oriented stocks.

Small-cap stocks have generally been more volatile in price than large-cap stocks.

All investments involve risk, including possible loss of principal. Diversification cannot assure a profit or protect against loss in a declining market. Index performance is for illustrative purposes only and is not indicative of any specific investment. Investors cannot invest directly in an index.

Fixed income securities are subject to credit risk, liquidity risk, call risk, and interest rate risk. As interest rates rise, bond prices generally fall. Investments in

high yield bonds involve greater risk of price volatility, illiquidity, and default than higher-rated debt securities. Investments in **bank loans** may at times become difficult to value and highly illiquid; they are subject to credit risk, such as nonpayment of principal or interest, and risks of bankruptcy and insolvency.

Derivatives may be riskier or more volatile than other types of investments because they are generally more sensitive to changes in market or economic conditions; risks include currency risk, leverage risk, liquidity risk, index risk, pricing risk, and counterparty risk.

Investments that **short securities** employ leverage that would magnify any losses.

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